5.1. The people management function

TALENT MANAGEMENT

- People Management function develops a set of related tasks to attract and select talented workers, besides having the appropriate tools for their retention and development within the firm.
- It involves the following tasks from managing people:
  - **Attracting** valuable candidates: Recruitment and selection.
  - **Retaining** talented staff: Evaluation systems and incentives.
  - **Developing** talent: Training programmes and career development.
- Talent management is closely related to **motivating people** properly, understanding how to adapt to the **diversity** of characteristics of each member.

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5.1. The people management function

THEORIES ON MOTIVATION

- Each worker has its own motivation: the idea of earning a good salary, the need for social acknowledgement, self-actualisation or their own expectations.
- It is crucial for managers to understand what motivates their employees to improve productivity, create a good working environment and increase satisfaction.
- Motivation can be defined as what strengthens, directs and maintains human behaviour. It’s a person’s desire to work as well as possible or make a greater effort to perform the tasks assigned to him/her.
- Earliest scientific studies on business administration conducted by Taylor (1911) considered motivation closely related to the level of economic compensation. Other theories:
  - Maslow’s theories: they hierarchy of needs.
  - Herzberg’s theory: hygiene factors and motivator factors.
  - Vromm’s expectancy theory.

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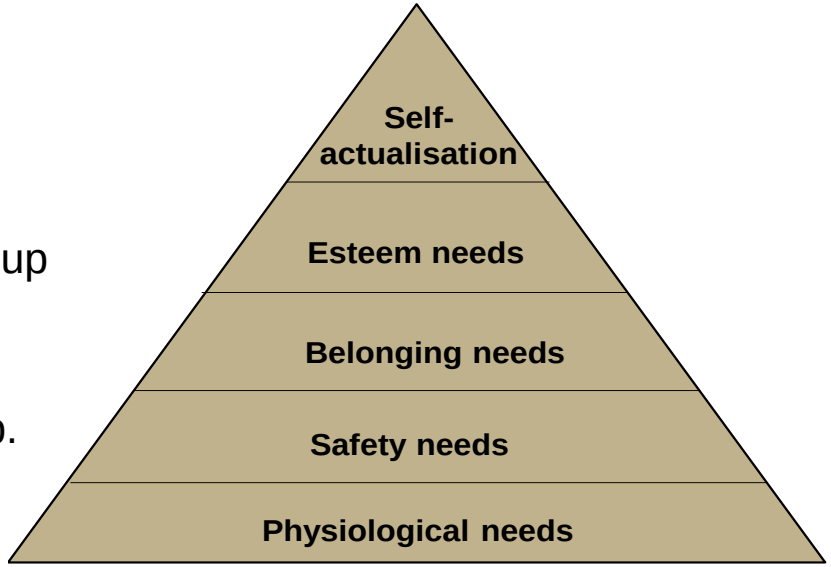
MASLOW'S THEORIES: THEY HIERARCHY OF NEEDS

- Maslow (1943) stated that people had **five basic** types of **interrelated needs**:
  - Physiological needs: personal survival, such as food, rest, clothes, etc.
  - Safety needs: defence against disease, physical harm, economic trouble and unforeseen events.
  - Belonging needs: belonging to a social group or to be accepted heading the list.
  - Esteem needs: being respected, self-confidence, being valid for the social group.
  - Self-actualisation needs: developing each one full potential and their vocation.



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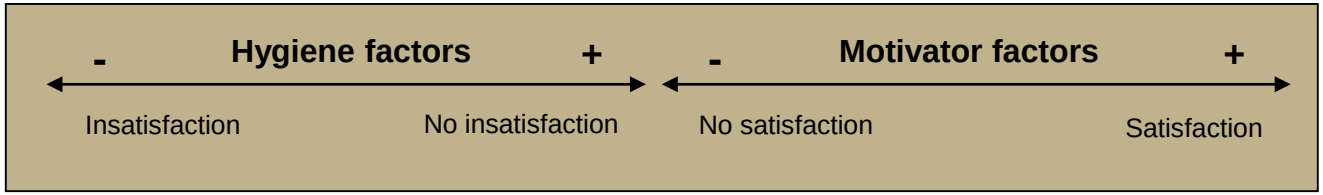
HERZBERG'S THEORY: HYGIENE FACTORS AND MOTIVATOR FACTORS

- Herzberg (1966) identified two sets of needs:
  - **Hygiene ones:** the need for compensation, safety in the workplace and acceptable physical conditions to perform work in.
  - **Motivator ones:** achievements and social recognition, responsibility, independence at work and advancement.
- Only motivator needs produce satisfaction to employees.
- Motivator needs could be compared to the top three levels of Maslow's hierarchy of and hygiene needs with the lower levels.



Source: *Adaptated from Huse, E.F.; Bowditch, J.L. (1976).*

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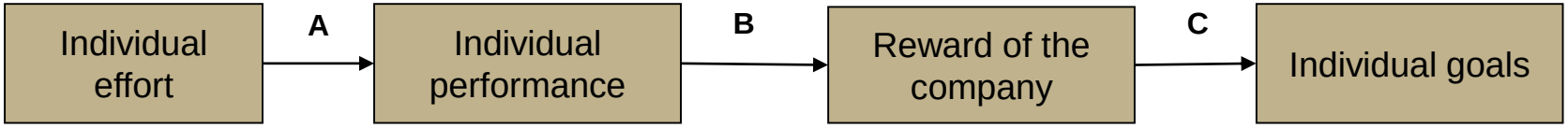
5.1. The people management function

VROMM'S EXPECTANCY THEORY

- Vroom's theory (1964) recognised that there were individual differences in motivation processes.
- The level of desire that someone has to reach the goal set by his/her firm depends on:
  - Individual's **expectancy** regarding the relationship between effort and performance goals.
  - The relationship between performance attained and how this is **rewarded** within the firm.
  - The personal **perception** that he/she has regarding how important the reward received is to him/her.



A: Relationship effort-performance

B: Relationship Performance-reward

C: Attractiveness of the reward

Source: *Robbins y Coulter (2018:532).*

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INSTRUMENTS TO MOTIVATE PEOPLE

- Financial compensation can be considered a good instruments.
- Another tool endowed with great motivating power is to get people involved in the firm's projects and activities as it satisfies the needs of belonging and achievement.
- People also get more motivated if the work they perform is **enlarged**, making it more interesting:
  - A variety of operations to perform.
  - Identity in the tasks
  - Significance of the work.
  - A degree of autonomy.
  - Feedback.
  - Clear goals.
  - Difficulty of the work.

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5.1. The people management function

MANAGING DIVERSITY

- Increasing diversity in companies derived from demographic changes and increasing globalization.
- Favorable effects for the company:
  - Greater **creativity**: It is associated with more innovative firms.
  - Better **problem solving**: There is a tendency to avoid convergence to a dominant thought.
  - Greater **flexibility**: Greater openness to new ideas and greater tolerance are encouraged.
  - Better **information**: Allows access to different environments and groups.
- It is necessary to overcome **challenges** related to increased the turnover, rate, communication problems and team tensions.
- Companies establish specific programs and guidelines to promote diversity, with the culture of the company being key in the process.

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5.2. Recruitment and selection

DEFINITIONS

- A firm that wishes to hire employees must plan the firm's additional staffing requirements, both present and future in order to avoid costly dismissals, new hiring processes and transition periods involving vacant positions.
- This information can be compiled in a **job profile diagram** or competency map.
- Recruitment and selection processes are used:
  - **Recruitment** is the process through which a group of candidates qualified for a given position is formed.
  - **Selection** is the process through which the decision to hire or not hire each of the candidates is reached.

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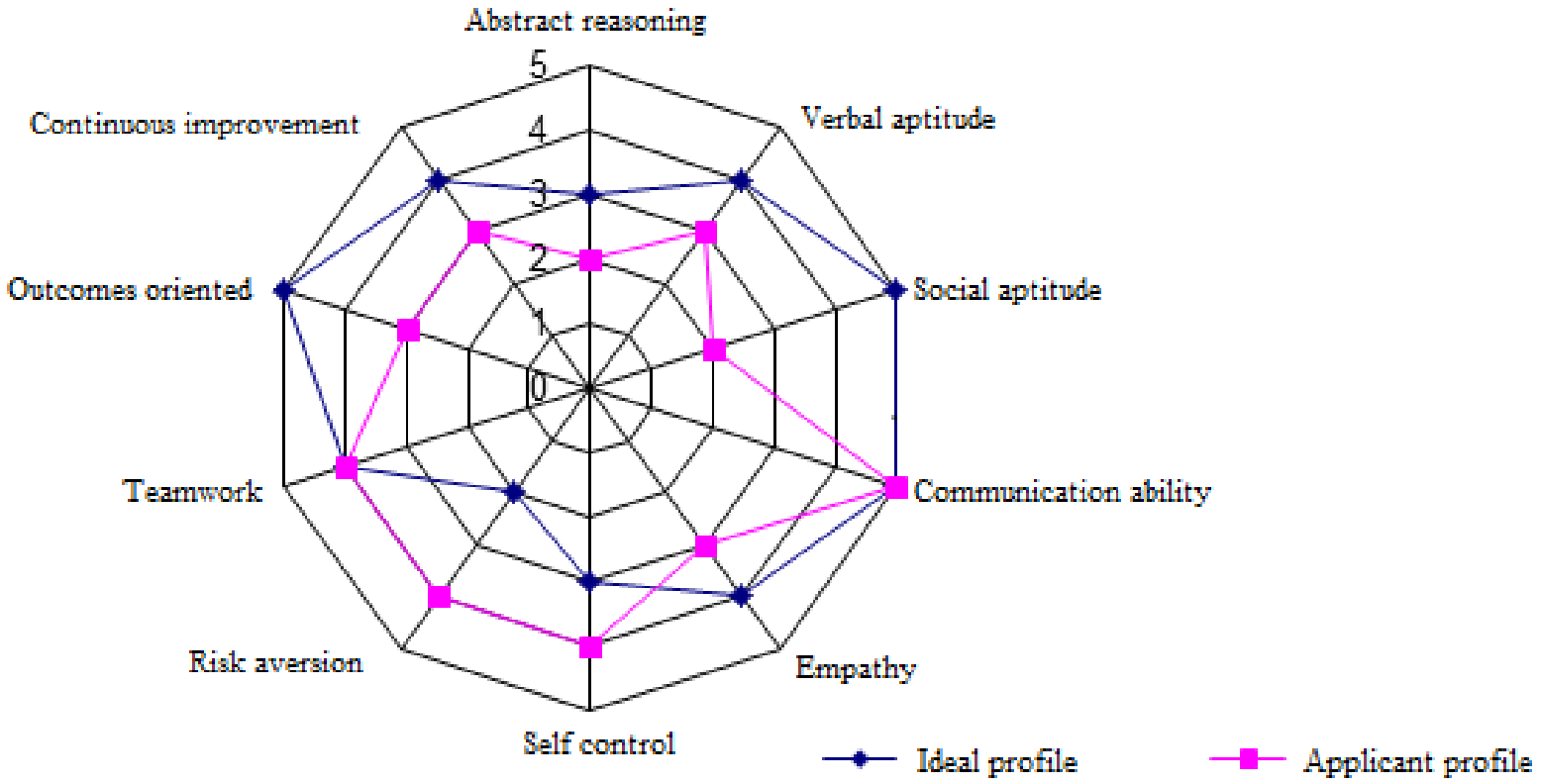
5.2. Recruitment and selection

EXAMPLE OF COMPETENCY MAP



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5.2. Recruitment and selection

RECRUITMENT SOURCES

- Organisations can turn to a wide range of sources, which can be classified into two:
  - **Internal recruitment** normally takes place through promotions to positions of greater responsibility or transfers from one post to another.
  - **External recruitment** is when candidates are sought outside the firm. Sources:
    - References from current employees.
    - Former employees.
    - The media.
    - Training/education centres.
    - Professional associations.
    - Public employment agencies.
    - Temporary employment agencies.
    - Consultancy firms (eg. “Head Hunters”).
- Firms can use external recruitment by their own or by using external agencies and consultancy firms.

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5.2. Recruitment and selection

ADVANTAGES OF INTERNAL AND EXTERNAL RECRUITMENT

Internal recruitment	External recruitment
– The candidates already possess knowledge about the organisation and vice versa. – The company's employees feel securer, more motivated and more committed to the company's long-term interests. – Good use can be made of investment in training. – Helps develop a certain degree of internal competence and eagerness to excel. – The cost of advertising in different media can be saved.	– Attracts people with new ideas, different points of view and new ways of tackling internal problems within the organisation. – The best person for the job can be hired without incurring significant training costs. – The problems arising from the lack of authority that internal recruitment can involve when a colleague becomes a boss can be avoided.

Source: *Adaptated from de la Calle Durán & Ortiz de Urbina-Criado (2014).*

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Illustration 5.3

RECRUITMENT VIA SOCIAL MEDIAS

- The Infoempleo-Adecco report on social networks and the job market analyzes the impact they are having on the search for talent.
- There is a widespread use that has given autonomy to professionals.

Source: *«Todo lo que necesita saber para acelerar la búsqueda de un trabajo», M. Mateos, Expansión, January 15 , 2020; «Informe 2017 Redes Sociales y Mercado de trabajo», Infoempleo y Adecco.*

Identify the key advantages and inconveniences you find in using social media as a recruitment tool.

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5.2. Recruitment and selection

SELECTION TOOLS

- The selection focuses on choosing those most likely to adapt to the position to be filled.
- Tests and analyses are performed in an attempt at predicting a candidate's future performance.
- The selection process involves different selection tools:
  - CVs and coverletters.
  - Interviews.
  - Psychometric tests.
  - Professional tests.

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5.2. Recruitment and selection

OTHER SELECTION METHODS

- **Psicometric test**: There exist different types of tests that can be used to select candidates:
  - Aptitude tests.
  - Intelligence tests.
  - Personality tests.
- **Aptitude tests**. measure how well people should be able to perform specific tasks. Verbal reasoning or the ability to understand complex written material may be tested, as may mathematical reasoning.
- **Intelligence tests** aim to measure the intelligence of candidates by evaluating a range of logical, analytical, deductive or abstract-thinking skills.
- **Personality tests**: appraise candidates' traits and qualities. Most widely accepted traits that define personality are: extroversion, agreeableness, conscientiousness, emotional stability and openness to experience.

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5.3. Appraisal and compensation

APPRAISING PERFORMANCE

- Appraisal involves a set of procedures through which a firm collects information on its employees so as to be able to appraise and confirm what their level of performance is.
- Directly related to how much employees are paid, appraisal is also important for other areas of human resources.
- The appraisal can be **based on the results** of the employees:
  - Example: the sales that a sales employee secures.
  - Is objective and is used when the work performed is extremely stable.
  - It is assumed that results are a good indication of the effort of a employee.
  - But the results employees achieve do not always depend on their own effort and abilities.
  - Also, it is not always easy to set the level as of which an employee can be considered to perform well.

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5.3. Appraisal and compensation

APPRAISING PERFORMANCE

- The **appraisal of behaviour** of employees:
  - Example: A manager can be appraised on the basis of his or her leadership capacity or his ability to come up with new ideas.
  - It is based on the behaviour, aptitudes, abilities or competencies of employees.
  - Useful where it is not possible to differentiate individual performance or there is no suitable way to measure results.
  - it is subjective, depending on the view of the appraiser.
  - Can create confusion as subordinates do not always clearly understand what qualities are taken into account and how to improve them.
- Behaviour can be appraised using **different methods**:
  - **Comparative method**. The behaviour of several employees is compared.
  - **Rating method**. Each employee is assessed according to a list of characteristics.
  - **Essay method**. The evaluator describes the behaviour of each employee, explaining his/her qualities and job performance.

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5.3. Appraisal and compensation

POSSIBLE APPRAISERS

- Normally, an employee's **immediate superior** performs the job:
  - He/she has information available to know whether an employee is fulfilling the objectives set.
  - Their often placing great importance on certain matters that are more relevant to them than to the firm.
- Other people:
  - **Colleagues** or **peers** and **subordinates** provide first-hand information on an employee's abilities and skills.
  - **Perception of customers,** important when they have direct contact with them.
  - **Self-assessment** requires the direct involvement of the actual employee.
- When the appraisals of different people from different standpoints it is called **360-degree feedback appraisal**.
- Whichever approach is used, the results of appraisal must be completed with an **appraisal interview**.

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5.4. Development of talent and termination of the relationship

TRAINING PROGRAMMES

- Staff training and development comprise a set of activities designed to enhance the performance of a firm by **building the capacities** of its members.
- Whilst training aims to adapt people better to their current posts, career development prepares them for posts in the future.
- Training programs require the following steps:
  - Identify the firm's training needs.
  - Selecting training.
  - Evaluating training programmes.

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5.4. Development of talent and termination of the relationship

TRAINING NEEDS

- It depend on the gap between the initial level of education and training that its employees have, and the level that they should have:
  - They are not qualified for their jobs.
  - They need to respond to changes in the environment and the objectives of the firm.
  - They take up a new position in a firm and need to get an idea of company culture.
- Three levels of analysis are normally distinguished in order to estimate a firm's **training needs**:
  - **Organisation analysis** or general needs.
  - **Task analysis** where the tasks that each job involves are evaluated.
  - **Individual analysis**. Those employees that need training are identified by comparing how they actually perform the tasks involved in their jobs to how they ought to perform them.

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5.4. Development of talent and termination of the relationship

SELECTING TRAINING

- Training **methods** available:
  - Case method.
  - Business simulation games.
  - Role play.
  - Group discussion.
  - Conferences or seminars.
  - Job rotation.
  - Guided reading.
  - Videos, documentaries and films.
- Other elements to consider: place, moment and trainers.

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5.4. Development of talent and termination of the relationship

EVALUATING TRAINING PROGRAMMES

- The objective of this stage is to assess the effectiveness of the training programme that the members of the firm have received: reaction, learning, behaviour or results outcomes.
- It also depends on other factors such as employee motivation or the atmosphere in which the training takes place.
- Many firms place great importance on the training of their employees and have created corporate schools or universities.

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5.4. Development of talent and termination of the relationship

FROM THE PERSPECTIVE OF THE INDIVIDUAL

- It is not just a question of ensuring your survival in a company, but of recognising and developing the skills needed in order to succeed at work.
- The main suggestions for career development are :
  - Write up your own personal development statement.
  - Take charge of your own direction and growth.
  - Make personal improvement, not promotion, your priority.
  - Speak to people in top positions and ask for suggestions.
  - Set attainable goals.
  - Make a priority of investing in yourself.

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Further reading

- Ben-Hur, S.; Jaworski, B.; Gray, D. (2015), «Aligning corporate learning with strategy», *MIT Sloan Management Review*, September Fall,
- Ibarra, H., & Scoular, A. (2019). «The leader as coach», *Harvard Business Review*, vol. 97, nº 6, pp. 1-11.

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Useful links

- Randstad (www.randstad.es): a multinational human resource firm that specialises in staff selection.
- Expansión & Empleo (www.expansionyempleo.com): human resource website run by the Unidad Editoria group offering information on job vacancies, training courses and the latest news.
- McCormick y Asociados (www.mccormickyasociados.wordpress.com): human resource consultancy firm that offers expert advice on training and career development to private individuals and helps companies with staff selection, relocation and appraisal processes. Also has up-to-date news on trends in human resources and news of interest.
- On-line employment search engines: Infojobs (www.infojobs.es), Cvexplorer (www.Cvexplorer.com), Bluesteps (www.Bluesteps.com), Monster (www.monster.es), etc.
- Social networks specialising in professional contacts: Xing (www.xing.com), Linkedin (www.linkedin.com), etc. Exchange information on job vacancies, career development opportunities and consultation on how to improve at work.

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